The Episodic Pivot

A study essay on the setup popularised by Pradeep Bonde and Kristjan Kullamägi (Qullamaggie)

With backtest results on US stocks, January 2024 - October 2026, and how the Live Market Scanner implements it

Educational material only. This is not investment advice. Backtests describe the past under simplifying assumptions and do not predict future results.

1. The idea in one paragraph

An Episodic Pivot (EP) is a moment where a single piece of news changes how the market values a stock, and the price adjusts in one violent move rather than gradually. The stock was ignored before - nobody cared, the chart drifted sideways or down - and then an earnings report, a contract, an FDA decision or a guidance raise forces every holder and every fund to re-price it overnight. That re-pricing shows up as a large gap up on enormous volume. The thesis is that one day is rarely enough for big money to finish buying, so the move that starts on the gap day often continues for days or weeks: the episode becomes a pivot, a turning point in the stock's trend.

The term comes from Pradeep Bonde (Stockbee). Kristjan Kullamägi, who trades under the name Qullamaggie, made it famous as one of his three core setups next to breakouts and parabolic shorts, and attributes a large part of his returns to it.

2. Why it can work

Markets absorb surprising information unevenly. A small or mid-cap stock that nobody followed has few analysts, few institutional holders and a valuation built on old expectations. When a genuine surprise lands, three forces push in the same direction:

- **Re-rating.** Analysts raise targets over the following days, not in the first minutes. Each upgrade brings new buyers.
- **Institutional accumulation.** A fund that wants a 2% position in a stock that trades a few million dollars a day cannot buy it in one session. It buys over days and weeks, which supports the price.
- **Post-earnings drift.** Academic work since the 1960s (post-earnings-announcement drift) shows that stocks with big positive earnings surprises tend to keep drifting in the direction of the surprise. The EP is a practical, price-and-volume version of that effect.

The 'neglected' requirement matters because it measures how much of the news is new. A stock that already doubled into the report has priced in good news; a stock that went nowhere for months has not.

3. The classic rules

3.1 Setup (the gap day)

- **Gap:** opens at least 10% above the previous close. Larger is not automatically better.
- **Volume:** far above normal - typically 3x or more of the average daily volume, ideally the highest volume in a year or ever.
- **Catalyst:** real, fundamental news. Earnings with strong growth or a big surprise are the classic case; also guidance raises, large contracts, regulatory approvals.
- **Neglect:** the stock had not run up beforehand; a flat or falling chart over the prior three to six months.
- **Liquidity:** enough price and dollar volume to get in and out.

3.2 Entry

Qullamaggie buys the break of the opening-range high - the high of the first 1, 5 or 60 minutes of the gap day. The opening range shows whether buyers are still in control after the initial gap; a break above it is the confirmation.

3.3 Stop

The initial stop goes at the low of the gap day (in practice the low of the opening range at the time of entry). If the stock trades back below the day's low, the episode failed and the trade is wrong. Risk per trade is kept small - he talks about a fraction of a percent of the account - so that many small losses are affordable.

3.4 Exits

- Sell about a third to a half of the position after 3 to 5 days, if the trade is in profit.
- Move the stop on the rest to break-even.
- Trail the remainder with a moving average - the 10-day for fast movers, the 20-day for slower ones - and sell on a daily close below it.

The result is a lopsided payoff: many trades are stopped out for about 1R (one unit of risk), while a few run for 5R, 10R or more and pay for everything else. Win rates of 30-40% are normal for this style.

4. What the backtest found

To check whether the idea holds up in recent markets, the setup was tested on daily data for all US stocks from January 2024 to mid-October 2026 (Massive grouped daily bars, with news from Massive's news feed). Risk was $100 per trade, with $2 costs.

4.1 How the test differs from real trading

Daily bars do not show the opening range, so the test bought at the open of the gap day. The obvious stop - the day's low - cannot be used with an open entry, because the low is not known at the open; using it makes every trade look excellent (more than +2R per trade), which is an illusion. The honest version used a stop known in advance: the open minus one average daily range (ADR20). Exits: a third sold at the close of day 3 if in profit, the rest trailed with a close below the 10-day moving average, at most 60 days.

4.2 Results

Version	Trades	Avg per trade	Profit factor	2024 - mid 2025	mid 2025 - 2026
EP with any news	835	+0.20R	1.28	+0.35R	0.00R
EP with earnings news	326	+0.55R	1.80	+0.57R	+0.50R
EP without news	-	-0.07R	< 1	-	-
Gap >= 15% (any news)	-	+0.05R	-	-	-

The catalyst decides everything. Without news the setup loses. With any news it is positive overall but faded to zero in the later period. Only the version restricted to **earnings** headlines held up in both halves of the data: about half an R per trade, which at $100 risk is roughly $50 per trade on average.

A bigger gap did not help (15%+ was worse than 10%+), and the 'neglected' filter changed little in this sample. For comparison, simpler ideas tested at the same time - buying any 5%+ gap that held, or adding daily-level breakouts and generic news - lost money or failed out of sample.

4.3 Limits of the evidence

- Small sample: only 88 earnings EPs in the later test period. Treat +0.5R as a direction, not a guarantee.
- News coverage is thin: about 70% of candidates had no article in the feed, and keyword matching ('earnings', 'results', 'EPS', 'guidance'...) occasionally catches the wrong headline.
- The opening-range entry that is actually traded was not tested; buying the ORH is later and higher than the open, but also filters out gaps that fail immediately.
- Delisted stocks are included, but trades without an exit bar were dropped; positions overlap with no portfolio limit; no slippage beyond the costs.

5. How to trade it with the scanner

5.1 Before the open: EP Watch

From 04:00 ET the **EP Watch** scan lists stocks that gap 10% or more, cost $5 or more, trade heavy pre-market volume, have an earnings headline since the previous close, and are up no more than 10% over the last three months. It shows the gap, the volume multiple, the headline and its age, the 3-month change, the average daily range and a planned stop (price minus one ADR), and says 'episodic pivot watch, earnings'.

Your job before the bell: read the headline. Is it a genuine surprise (big beat, guidance raise, new business) or noise? Check the daily chart for neglect and for overhead resistance. Decide your size from the planned stop.

5.2 After the open: EP Break

Between 09:35 and 11:00 ET the **EP Break** scan fires once per stock when price breaks above the 5-minute opening-range high, and says 'episodic pivot break'. It shows the opening-range high, the stop and the risk in percent.

5.3 A worked plan

- Risk per trade: fixed, e.g. $100. Shares = risk / (entry - stop).
- Entry: the ORH break. Stop: the day's low or open - 1 ADR, whichever you chose in advance - never moved down.
- Day 3 to 5: sell a third if in profit; stop on the rest to break-even.
- Then: hold while the daily close stays above the 10-day moving average; exit on the first close below.
- Journal every trade in AfterBell; the Market Log shows the scanner's alerts next to your trades.

6. Common mistakes

- **Taking every gap.** The edge in the test came only from earnings catalysts. A gap without real news is just volatility.
- **Chasing.** Buying far above the opening range without a nearby stop turns a good setup into a bad risk-reward.
- **Selling too early.** The payoff depends on the few big winners. Cutting everything at +1R removes the tail that makes the strategy work.
- **Sizing too big.** With a 35-45% win rate, streaks of 6-10 losses are normal. Size so that such a streak is uncomfortable, not dangerous.
- **Ignoring the market.** EPs work best when the overall market is healthy; in weak markets even good news gets sold.

7. Study checklist

Question	Look for
Is the news a real surprise?	Earnings beat + raised guidance, new contract, approval
Was the stock neglected?	Flat/down 3-6 months, no run into the report
Is the volume exceptional?	3x+ average, ideally a 1-year high
Is the gap holding?	Price above the opening range after 5-15 minutes
Is the risk defined?	Stop known before entry; shares = risk / distance
What is the exit plan?	Partial on day 3-5, trail the rest on the 10-day MA

Sources: public talks and streams by Kristjan Kullamägi (Qullamaggie) and Pradeep Bonde (Stockbee) describing the setup; the backtest in the scanner's research notes (docs/episodic-pivot.md). This essay is for study only and is not investment advice.